<u>Question 1</u>. As we discussed in class, *3M* is a multinational powerhouse with more than $32 billion in annual sales across a product line 60,000 deep from adhesives to optical film. It boasts many patents and over 90,000 employees in businesses throughout 60 countries. However, while *3M*'s business strategy has been viewed as both innovative and creative, they have also been criticized as somewhat ineffective in developing revolutionary new products. Please answer the following questions:

a. **Describe *3M's* strategy as a conglomerate juggernaut. Please include a discussion on why they would want to maintain this strategy (or not).**

Using a conglomerates strategy to run business has both advantages and disadvantages. 3M as a established company would want to maintain this strategy for :

1. Diversification : Being a conglomerate, 3M has 60,000 of products in its profile across different sectors helps spread risk. If one sector faces downturns, others may perform well, stabilizing overall revenue. I think strategy to diversify the product to reduce the risk is a potential reason 3M might want to be a conglomerate as it is already established.
2. Innovation: When a company already has a diverse range of products, specially 3M having around 60,00 types of product. If a potentially beneficial new product appears on the market, the company can adapt its focus to develop innovative new products smoothly. Thus, I find innovation to support the conglomerate.
3. Building Customer Loyalty: 3M has established itself as a valuable part of customers' lives through its wide range of products. With loyal customers already in place, there's concern that discontinuing certain products could jeopardize this goodwill. For instance, in Nepal, I experienced this firsthand when searching for a specific canned fish brand. Despite similar alternatives, I found myself spending hours seeking out that particular brand due to habit, showing the importance of product continuity in maintaining customer loyalty.

However, there are many reasons which would not support conglomerate as well. Some of the reasons are:

1. Market competitiveness: As a conglomerate business there will be an uncountable number of competitors specializing in only one product. These competitors may have an advantage as their focus and expertise are solely dedicated to their specific product. I've noticed that smaller locals produce better cookies, candles than the big companies' products.
2. Management: Managing over 60,000 products in 60 countries is incredibly complex. I strongly foresee inefficiencies in the company due to diverse areas and complications.

b. **Discuss the issue of *3M* 's poor financial performance. For instance, 3M's market capitalization was $101.6B USD in 2021 yet today it is**

$58.7B USD. Also, 3M's debt-to-equity ratio has increased over this period from 2.11 to 9.39. What threats and issues are there to the firm and 3M's strategy given these numbers?

The threats and issues for the firms and their strategies are:

1. Financial risk: The increase in 3M's debt-to-equity ratio suggests greater financial leverage, which can raise the risk of financial difficulties for the company. This reduced financial flexibility can result in higher interest expenses, lower profitability, and investments in research and development. Additionally, the decline in market capitalization signals financial losses to stakeholders and shareholders, potentially losing confidence and hindering future growth prospects. I think we have a negative cycle of financial losses and reduced investor trust can further impact the company's ability to regain momentum.

2. Competition and market position: The financial strain may weaken 3M's competitive position, as competitors with better financial health could take advantage of this situation by intensifying R&D efforts, engaging in aggressive marketing, or capturing market share through competitive pricing strategies. If I was a competitor this would be a perfect time for me to level up everything I have to take over the 3M.

3.Conglomerate: Investing in a diverse range of products can be costly for the company, potentially diverting attention and resources away from key areas. I agree managing a conglomerate is a strategy but it is challenging and expensive due to ongoing competition in various markets. I am afraid that this strategy itself may pose a threat considering the financial implications involved.

c. **Finally, *3M* employs a "15%" human resource policy when it comes to innovation. Using <u>Chapter 10 & 11</u> material from *Thompson et al*. as a basis, discuss whether this is an effective (or not) way to execute strategy**.

3M's strategy of "15%" human resource policy when it comes to innovation." is that each employee has 15% of their time dedicated to innovation. Chapter 10 and 11 talks about many executive strategy, few of them to discuss whether this is an effective way to execute strategy are:

1. Allocating ample resources to the strategy execution effort: Allowing employees to dedicate a portion of their time to self-directed projects represents an investment of company resources. For instance if each employee sets aside 15% of their time towards innovation, after working all day to solve a problem. This really allows them to figure out the solution to the problem. As 3M's one of the goals is innovation, I think this is a great example of allocating resources which is time to execute the strategy. While this may initially seem like a diversion from core activities, it can yield significant returns in terms of new product development, process improvements, and competitive advantage.

2. Tying rewards and incentives to performance objectives: Recognizing and rewarding employees who successfully utilize the "15% Rule" to drive meaningful results reinforces desired behaviors and outcomes. I think this is a brilliant idea and motivates individuals to actively contribute to strategic objectives and foster a culture of innovation and accountability.
3. Instituting policies and procedures that facilitate good strategy execution: As covered in chapter 11, the "15% Rule" serves as a policy that encourages experimentation and innovation within a structured framework. I believe by providing guidelines for how employees can use their time, it ensures that efforts remain aligned with the company's strategic priorities while still allowing for flexibility and creativity.

<u>Question 2</u>. *Pfizer Corporation* (aka just "*Pfizer*") is a multi-billion, global pharmaceutical giant (roughly in the $60-70B revenue range for 2023). Their efforts in the pandemic to quickly and effectively develop a series of vaccines targeting the Covid virus was truly noteworthy. However, there are many complex, if not, perplexing aspects to this organization and the future role of Big Pharma in society. From a strategic lens, please address the following:

a. **Discuss whether *Pfizer's* ties with the Food & Drug Administration (FDA) is good for society (or not)? Please use the corporate social responsibility (CSR) model discussed in <u>Chapter 9</u> of *Thompson et al.* as a basis for your answer.**

I believe there are both advantages and disadvantages of Pfizer's ties with the FDA in the society. To analyze how this relationship affects the society by CSR, we could focus on main and relevant aspects such as ethical, economic and environmental aspects:

Ethical Responsibility: The approval of the Covid-19 vaccine shows a dedication to addressing urgent public health needs. The collaboration between the FDA and Pfizer likely played a crucial role in expediting the acceptance process. From an ethical standpoint, established health companies like Pfizer bear a significant responsibility to save lives under uncertainty. It is their duty to quickly develop a vaccine, which is a hope for countless people. This positive development effectively tackled the global health crisis. However, questions arise regarding the expedited process if there was a close relationship between the FDA and Pfizer. It raises concerns about whether the vaccine's approval was solely based on fair clinical trials or influenced by favoritism. Such favoritism would be ethically questionable, risking the lives of many. I personally thought it was a very short time to develop a vaccine within months. If I had known this relationship, I would not have gotten vaccinated easily. Ethically, I think the ties aren't good for society because it is rather good to wait for something that works right than take immediate action which might need another solution already in the middle of the crisis. But at the same time if its fair and used the right way, that would be ideal.

Economic Responsibility: Pfizer, like any company, has a financial obligation to make decisions that promote its growth. Maintaining a strong relationship with the FDA is strategically advantageous for Pfizer as it helps avoid unnecessary conflicts with government officials over FDA standards. This relationship allows Pfizer to receive direct feedback from the FDA regarding drug development requirements, streamlining their processes and potentially saving time and money. However, this could also impact pharmaceutical pricing and regulations concerning affordability. While Pfizer aims to maximize profits, having influence over FDA decisions may lead to lesser accessible medical treatments. Additionally, some may question the integrity of Pfizer's products if they perceive them to be favored as a result of relationships rather than fair trials, Pfizer may lose credibility for its product, which could harm Pfizer's economic growth. I believe economically, this is not good for society as the relationship might be favorable in some way and citizens might have health concerns.

Environment responsibility: Pfizer has a strong relationship with the FDA, they might feel more assured about avoiding consequences if caught. Pharmaceutical companies like Pfizer generate various chemicals as byproducts, and might perform animal testing. Being connected with the FDA could potentially allow them to bypass protocols such as improper disposal of chemicals and tampering with records concerning these chemicals. I think environmentally it is not good for society because there are higher chances of having problems with the environment, and it should be fair to everyone.

b. How do long development cycles affect *Pfizer's* innovation process in providing new medical therapies (please use Porter's 5-Forces model as a basis for your answer)?

Long development cycles impact Pfizer's innovation process in providing new medical therapies in several ways, as per Porter's Five Forces model:

1. Competitive Rivalry: I think Pfizer's focus on lengthy development cycles affects the innovation of medical therapies and intensifies competition among pharmaceutical companies. When Pfizer focuses on a long development cycle, it creates a delay in the innovation process. Rivals may seize opportunities to launch products ahead of Pfizer, exploiting its longer development timeline.

2. Threat of New Entrants: If Pfizer's development cycles are lengthy, it may indicate that entering the market with new medical therapies requires significant time and resources. This can act as a barrier to entry for potential new competitors, as they may not have the resources or patience to invest in such a lengthy process. This reduces the threats of new entrants. On the other hand, if Pfizer's innovation process is slow, it could create opportunities for smaller, more agile competitors to enter the market with alternative therapies. Ithink these competitors may be able to develop and bring products to market more quickly, potentially reducing Pfizer's market share and increasing competition.

3. Bargaining Power of Suppliers: Pfizer’s long development cycle needs to have constant supply of research chemicals and materials. These dependencies can increase the bargain power of suppliers. This ultimately means the supplier has higher power and if they increase the prices suddenly or limit access to products, this affects the innovation process of Pfizer.

4. Bargaining Power of Customers: I think long development cycles at Pfizer can impact the bargaining power of customers in various ways. Firstly, if Pfizer's innovation process takes a significant amount of time, customers may become impatient and seek alternative treatments from competitors who can bring products to market more quickly especially during urgency like Covid. I believe this will weaken Pfizer's bargaining power as customers have more options and to negotiate prices or terms.

5. Threat of Substitute Products: I think there could be an increase of threat of substitute products. Lengthy development cycles at Pfizer may influence the threat of substitute products in several ways. Firstly, if Pfizer's innovation process is slow, it may create opportunities for competitors to develop and introduce substitute products more quickly with alternative treatment approaches. Additionally, delays in bringing new therapies to market may lead patients and healthcare providers to seek alternative treatments from competitors or explore non-pharmaceutical options, such as lifestyle changes or alternative therapies. This can increase the threat of substitute products and decrease Pfizer's market share and revenue potential.

c. *Pfizer’s* acquisition of *Seagen* in December 2023 ($43B USD approximate purchase value) was a critical step toward their goal to help patients live better and longer lives. Based on *Thompson et al.’s* <u>Chapters 10 & 11</u>, what strategic issues do you anticipate *Pfizer* to encounter in executing their strategy to achieve world-class oncology leadership?

The company mergers and acquisitions fail most of the businesses for many reasons. Pfizer's acquisition of Seagen in December is a step Pfizer initiated to help patients live better and longer lives. However some of the issues we anticipate Pfizer to encounter when executing their strategy are:

1. Integration : Staffing the organization involves not only creating a strong management team and recruiting skilled employees but also integrating cultural and operational changes after an acquisition. I believe this can lead to friction, impact morale, and introduce complexity. When employees from different companies merge, tensions may arise, making adaptation difficult. Questions about roles and responsibilities may also arise, such as when a manager from one company assumes a lower position in the acquiring company. I anticipate the integration problem with almost more than half of the employees coming from Seagen.

2. Financial Management: Once the company has been acquired, the responsibility even increases more because firstly the company Pfizer already spent money to buy Seagan secondly, to manage more employees and their necessities could significantly affect Pfizer to plan their financials. I think it is difficult to allocate resources, especially finance, to strategy execution. For instance Pfizer has sold one of the manufacturing facilities of Seagan.
3. Stakeholders expectations and market competitiveness: Once a company acquires another, stakeholders, investors, patients, and healthcare providers often have high expectations. I am sure this can create pressure to meet these expectations, which may be challenging. Meanwhile, as Pfizer shifts its focus to acquisition roles, competitors may advance in innovation, potentially gaining a competitive advantages.

Question 3. We studied how Andersen Worldwide Societé Cooperative (*SC*) was one of the top-ranked firms globally regarding both accounting and consulting services. They not only led these respective industries but created a "different kind of firm" along the way. Yet, *SC* no longer exists. Given this backdrop, please address the following:

a. **You read about *SC's* attempts to integrate and control different operations in their firm. As part of a larger issue, how would you describe their organizational structure? They seemed to have put together a strong management team (see Chapter 10 of *Thompson et al*.) yet they failed miserably. Why?**

I believe the organizational structure of SC was complex due to its focus on accounting and consulting services, as it requires integration and coordination of al departments. SC failed for multiple reasons:

Internal tax: When Arthur Andersen (AA), which focused on accounting and auditing, wasn't making as much money. The leaders of the whole company decided to take some of Anderson Consulting's money and give it to AA to help them out. They called this an "internal tax.". While the SC was already huge company difficult to integrate and manage, adding another blunder idea like this which affects the consulting side was not a good move. I think as chapter 10 talks about the strenghting firm's resources and capabilities, SC failed do this.

Board Partners: A committee composed 15 auditors from Arthur Andersen and 9 from Consulting side was formed to make decisions about the whole company, including Andersen Consulting (AC). This committee was in charge of important matters like finances and strategy. However, this caused problems because AC, which was focused on consulting, felt like the auditors didn't understand their business well enough to make fair decisions and I believe it is right to feel this way. Secondly, even if there is a vote to anything, there is already higher power of accounting side. This led to conflicts between the auditing side and the consulting side of the company. I believe chapter 10's staffing with the right people failed in this case, as there was an unfair group being formed.

Formation of AABC : AC was progessing so well that AA started another consulting unit AABC (Authr Andersen Business Consulting) internally to compete in consulting services within the small and mid sized marklets not covered by AC. I find this to be the most blunder mistake that SC could allow it to happen in any corporate world. This was a sign that the competitiveness between themselves inside the company is starting to get toxic. The client could be confused in consulting like which one hired them. Secondly, I think Consulting side could understand that AA is starting to steal their business also creating internal rivalry. Chapter 10's structuring the organziation in a manner of supprotive way to executive strategy significnalty failed on this case.

b. **We discussed the traditional roles of the Board of Directors (BoD) in organizations in the *Ford Motor Company* case. The *SC* case reveals interesting aspects about "The Board" in the governance of *SC*. In general, how did "The Board" possibly hurt the company's performance overall?**

Yes, SC was initially an accounting firm which didn't have consulting side at all. However, if there is another department such as consulting being formed then they deserve equal amount of respect and care. But the Board of SC harmed the company's overall performance in several ways;

Conflict of interest: : The presence of auditors on the board could have created conflicts of interest, particularly in matters where the interests of the auditing and consulting sides diverged. I believe this compromised decision-making processes and hindered the pursuit of strategies beneficial to both sides of the business.

Lack of Understanding: The composition of the board, with a significant representation from the auditing side of the company, led to a lack of understanding of the consulting business. I strongly believe this resulted in decisions that were more favorable to the auditing side, neglecting the needs and dynamics of the consulting which was one of reasons SC started to fall apart.

Ineffective Oversight: The board's failure to adequately oversee and address internal issues, such as conflicts between the auditing and consulting divisions, contributed to a deterioration in company culture and performance. As a board, instead of taking care of internal conflicts they made decisions without proper governance and intervention, which I believe increased internal conflicts escalted and negatively impacted overall business operations.

c. **In <u>Chapter 11</u> of *Thompson et al*., the author(s) describe linking rewards to achieving the right outcomes. Did *SC* do a good or poor job at this? Defend your answer using the corporate social responsibility (CSR) model**.

I believe SC did a poor job of linking rewards to achieving the right outcomes. As a company, they had ethical,social and governance responsibilities.

Regarding taxation, when the consulting side generated profits for the company, instead of rewarding them, SC diverted their funds to pay taxes for the accounting side. This approach reflects negative reinforcement and is ethically questionable, demonstrating poor governance within the company.

The composition of the Board of Directors further illustrates this issue. With only 9 representatives from the consulting side compared to 15 from the auditing side, it indicates unfair treatment and lack of recognition for the contributions of the consulting division. I believe this imbalance in representation reflects a governance failure.

Additionally, the formation of AABC (Arthur Andersen Business Consulting) within the company, when another segment was performing well, is socially unacceptable behavior. Instead of supporting the flourishing area, SC's decision to create internal competition undermines the cooperative environment and goes against principles of corporate social responsibility.

It was sad to see the company fall apart, but if I was in consulting I would do the same thing. Consulting side made a better decision by leaving and forming their single Accenture in 2000 because the company would not have surived in SC with such work culture.